

periods are fine for measurement, but they often miss what is really happening day to day, especially the “terrifying moments” that occur over a few days or even intraday. It is these anxious periods when sleepless nights occur and when investors make emotional decisions. These moments are missed in the periodic market data.

Annual returns miss the really big moves that happen during a year. Consider 1987, the year of the market crash. The stock market was down by over 20 percent on a single day. That day was October 19, and it is known as Black Monday. Does this crash occur if you looked only at the total return for the year? No. The total return for the S&P 500 in 1987 was positive 5.1 percent. Black Monday did not happen if you considered only the annual return.

Quarterly and monthly returns are deceiving also. The S&P 500 was down by 22 percent from January 1, 2009, through March 9, 2009. However, that loss was cut to less than 11 percent by the end of March, so the quarterly return was only about half as bad as what the market experienced. By the end of the year the S&P 500 was up by more than 26 percent. Monthly returns can also mask extreme volatility. It is not unusual for the stock market to be up or down 10 percent intermonth.

Daily and intraday returns are what we live and breathe, and this is when the terrifying moments occur. We can see this movement in measures of daily and intraday price volatility. [Figure 14-2](#) illustrates the CBOE Volatility Index (VIX) level from 2007 through 2009 to provide a picture of this emotion-creating phenomenon.

FIGURE 14-2

High Market Volatility Signals Terrifying Moments in Investors' Lives